Subject: Estee Lauder Renewal Referral - 11/30
Date: Saturday, November 22, 2025 at 12:28:55 PM Central Standard Time
From: Muscat, Angelo
To: Haran, Richard
Attachments: image001.png, image002.png, image003.png, FY26 DO Underwriters Meeting Final.pptx, Estee Lauder CoPilot.pdf, D&O Public Excess Rater + Side A + SCA ISIT PROD 7.14.2025 v2.4.1.xlsm, Estee Lauder LM Quote 2025.docx

Hi Rick,

Please see the attached referral for Estee Lauder renewal.

I'm attaching the renewal quote above as I'm on PTO next week but will have my mobile.

Marjorie Feit at Willis – 12/15 Effective Date – We've extended our Agg since the original 11/30/23 Effective Date when we got on risk.
Expiring - 5 x 150 ABC for $31K

Margie washing pushing back on the increase when I said we'd we want to follow. Pretty much telling us to go flat. Please see below tower and correspondence from Margie.

I'd be ok renewing but we need an increase here.

Per Margie -

So far the 37% is holding.

It's possible it might increase as we go up the tower- too soon to tell.

But the truth is that if it goes higher, it's probably because the carriers are going to be paying on the claim.

That is not the case for you.

Right now your ILF is 99%. I think that even if the layer(s) below you get an increase that is greater than 37%, your pricing shouldn't change. You are not on the claim. You only have $5m limit exposed. You are not willing to drop down or increase your limit.

Rating Considerations		
Commision	0.0%	
Rating Currency	USD	<< If blank, assumes USD
Current Exchange Rate to 1 USD (CIQ)	1.0000	
3-Month Avg Exchange Rate to 1 USD (CIQ)	1.0000	
Override Exchange Rate		<< If blank, assumes Current CIQ Exchange Rate
Deductible/Retention (USD)	10,000,000	

		Layer Information						US SCA Frequency				US SCA Severity (M)			US SCA Loss Cost			Modeled Premium	
Layer	Deductible/ Retention	Attachment in excess of deductible (USD)	Limit (USD)	Signed Line	Policy Type	Sold/ Quoted Premium (USD)	Quoted Premium Type	Expected Frequency	Settlement Rate	Chance to Reach Layer	Excess Exp Freq	Ground-up Severity	Defense Costs	Exp Loss in Layer	Freq x Exp Loss in Layer	PLR	Apprx. US SCA Model Premium	Modeled Premium*	Sold-to-Model
USD 10m xs 150m	10,000,000	150,000,000	10,000,000	100%	ABC	31,000	Quoted	8.2%	55.0%	24.1%	**1.09%**	136.6	20.5	**9.7**	106,140	59%	179,898	**189,630**	16.3%
USD 10m xs 150m	10,000,000	150,000,000	10,000,000	100%	ABC	42,470	Quoted	8.2%	55.0%	24.1%	**1.09%**	136.6	20.5	**9.7**	106,140	59%	179,898	**189,630**	22.4%
Custom layer	10,000,000																		
Custom layer	10,000,000																		
Custom layer	10,000,000																		

**Modeled Premium includes loadings for Merger Objections, Loss Experience Factors, and Side A Only Discount*

Layer	Expiring Carrier	Expiring Limit	Retention/ Attachment	Expiring Extension Premium	Renewal Carrier	Renewal Limit	Renewal Retention/ Attachment	Renewal Premium	Renewal RPM	Renewal LF (%)	YOY Change %
Primary	Chubb	$10,000,000	$10,000,000	$501,900	Chubb	$10,000,000	$10,000,000	$725,000	$72,500	n/a	44.5%
1st Excess	Markel	$10,000,000	$10,000,000	$365,000	AIG	$10,000,000	$10,000,000	$500,000	$50,000	68.9%	37%
2nd Excess	AIG	$10,000,000	$20,000,000	$255,500	Zurich	$10,000,000	$20,000,000	$350,000	$35,000	70.0%	37%
3rd Excess	Zurich	$10,000,000	$30,000,000	$196,380	Nationwide	$10,000,000	$30,000,000	$269,000	$26,900	76.8%	37%
4th Excess	Nationwide	$10,000,000	$40,000,000	$165,000	Travelers	$10,000,000	$40,000,000	$226,000	$22,600	84.0%	37%
5th Excess	Travelers	$10,000,000	$50,000,000	$138,684	Berkshire Hathaway	$10,000,000	$50,000,000	$190,000	$19,000	84.0%	37%
6th Excess	Arch	$10,000,000	$60,000,000	$125,000	Allianz	$10,000,000	$60,000,000	$171,000	$17,100	90.0%	37%
7th Excess	CNA	$10,000,000	$70,000,000	$115,600	CNA	$10,000,000	$70,000,000	$158,372	$15,837	92.5%	37%
8th Excess	Old Republic	$10,000,000	$80,000,000	$112,560	Bowhead	$10,000,000	$80,000,000	$150,000	$15,000	94.7%	33%
9th Excess	Canopius	$10,000,000	$90,000,000	$104,400	Munich Re	$10,000,000	$90,000,000	$144,000	$14,400	96.0%	38%
10th Excess	Westfield	$10,000,000	$100,000,000	$97,146	Westfield	$10,000,000	$100,000,000	$134,000	$13,400	93.0%	38%
11th Excess	AXA XL	$10,000,000	$110,000,000	$91,314	AXA XL	$10,000,000	$110,000,000	$133,000	$13,300	99.0%	46%

Exposure –

1.

Accounts Receivable Concentration: Estée Lauder's largest customer is a retailer in China travel retail. As of March 31, 2025, this customer accounted for $218 million, or 12%, of the company's accounts receivable. The same customer represented $206 million, or 12%, at June 30, 2024, and $163 million, or 10%, at December 31, 2024. This concentration underscores the material exposure to China travel retail and the associated credit risk.

2. **Operating Income and Sales Volatility:**
   - **For the nine months ended March 31, 2025, operating income in Asia/Pacific decreased, primarily due to lower results in mainland China, Hong Kong SAR, and Korea, combined, of approximately $276 million. The decrease in mainland China was driven by lower net sales and the unfavorable impact of changes in local government subsidy policy.**
   - **For fiscal 2025, reported net sales decreased across all regions, with a notable impact from lower sales in travel retail (heavily dependent on Chinese consumers) and mainland China, North America, and Korea, combined, of approximately $1,150 million. The decline in travel retail was attributed to subdued sentiment and lower conversion from Chinese consumers, as well as strategic reductions in reseller activity and retailer shifts in business models in Korea and mainland China.**

3. **Risk Factors and Strategic Importance:**
    - **The company's filings repeatedly cite China as a concentration risk for sales growth and profitability. Risks include foreign currency fluctuations, regulatory changes, tariffs, trade restrictions, and economic/geopolitical instability. The company is actively managing these risks but acknowledges the outsized impact of China on its financial results.**
    - **Despite recent challenges, Estée Lauder continues to invest in China, viewing it as a critical market for future growth, innovation, and consumer engagement.**

In summary, Estée Lauder's exposure to China is significant, both in terms of revenue concentration (with its largest customer in China travel retail) and operational risk (volatility in sales and operating income driven by Chinese consumer sentiment and regulatory changes). The company's strategic decisions and risk management efforts are ongoing, but China remains a key risk factor for Estée Lauder's business outlook.

Angelo Muscat
Executive Underwriter
IronPro

Liberty Mutual Insurance
28 Liberty Street, 5th Floor
New York, NY, 10005
Office: 646-826-4824
Cell: 347-266-5250